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Multinational Companies (MNCs)

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Definition of multinational companies

- **A multinational company (MNC)** is a business that is registered in one country but has manufacturing, processing and/or service outlets in many different countries
  - For example, **Starbucks** headquarters are in Washington, USA but they have 32,000 stores in 80 countries

Examples of multinational companies

Well-known multinational businesses include BP, General Electric (GE), McDonalds and FedEx

- Factors such as **globalisation** and **deregulation** have contributed to the growth of MNC's
- MNC's often choose locations based on factors such as **cost advantages** and **access to markets**
  - **Nike** originates from the USA, but 50% of their manufacturing takes place in Mexico, China, Vietnam and Indonesia due to the **lower production costs** in these countries

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Got it

multinational company

- Multinational companies benefit in many ways by operating in different countries
- These advantages help **increase profits, reduce costs** and lower business risks

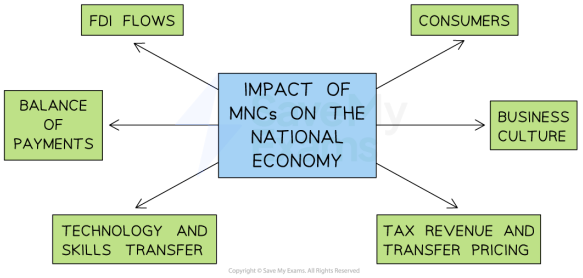
Advantage	Explanation
Economies of scale	• By operating globally and increasing output, MNCs benefit from lower average costs, improving efficiency and competitiveness
Increased profit	• MNCs often make large profits, some of which are sent back to their home country • However, some use offshore bank accounts and do not return profits home
New markets	• MNCs can enter new markets in different countries, which increases sales and spreads risk across multiple regions
Transportation costs	• Setting up production facilities closer to customers reduces transportation costs and speeds up delivery times
Risk management	• Selling in many countries reduces the risk of overall business failure • For example, if Egypt enters a recession and sales fall there, rising sales in a strong German market may offset the losses
Tax incentives	• MNCs may increase profits by locating in countries with low corporation tax or where tax breaks are offered
Avoidance of protectionism	• MNCs can avoid import tariffs by setting up production in countries with protectionist policies • For example, a Chinese MNC might open a factory in the USA to avoid tariffs on Chinese exports

Help me understand

hosting a multinational company

- Many governments are in favour of MNCs establishing in their country, as there are **benefits** to the wider economy, but their presence can also have **negative consequences**

Positive impacts of MNCs on the national economy



MNCs impact several business metrics in the national economy

Foreign direct investment (FDI)

- There will be an **inflow of money** into a country if a MNC decides to invest into a country through **foreign direct investment**
  - This money **enriches local firms or citizens,** who now have more money available to spend in the economy
  - If this money is **reinvested back into the local economy**, it may help to generate new jobs and boost economic growth

Balance of payments

- MNCs can help **improve** the balance of payments of a country as FDI flows into the country
  - Any goods and services **exported for sale** by the MNC will generate further inflows to the country's balance of payments
  - This is especially beneficial to a country when the MNC is exporting a **rare and valuable raw material, e.g cobalt**

Technology and skill transfer

- MNCs can bring new technologies and skills to local businesses
  - This will help to **improve efficiency and productivity**, helping domestic businesses become **more competitive** in national and international markets

Consumers

- Customers in countries which host MNCs often benefit from
  - **Better quality,** a **wider choice of goods** and services and **lower prices** if MNCs pass their cost advantages on in the form of lower prices

Business culture

- Domestic businesses may be influenced by the **business culture** of MNCs
  - For example, in the 1990s, European businesses adopted the working practices of Japanese businesses such as Nissan
  - Workplaces became more open and employers started to copy ideas such as **Kaizen** and continuous improvement
- MNCs may also encourage a culture of **entrepreneurship**
  - This can help boost overall economic growth

Tax revenue

- There is the potential for the host country to earn significant tax revenue from MNCs
- Governments can use this to invest in improving public services and infrastructure

Disadvantages to a country of hosting a multinational company

- Multinational companies can also present some **challenges,** which **governments sometimes struggle to mitigate**

Loss of assets

- Business assets from the home country are now fully or partly **owned** by foreign businesses
- Local firms or individuals who have sold the asset may not reinvest the money into the local economy but may **move it abroad or offshore**

Balance of payments

- MNCs can have a **negative impact** on the **balance of payments**
  - If the MNC buys raw materials or equipment abroad (imports), there is a flow of money out of the country
  - If the MNC **send profits back** to their home country, it will also represent a flow of money out of the country

Consumers

- In the long run, MNCs can **push domestic businesses out of the market,** leaving customers with less choice
  - This may lead to MNCs exploiting customers with **higher prices** and **low-quality products,** as they have limited choice

Business culture

- MNCs may demonstrate **unethical behaviour** and have a company culture of exploitation

- This encourages local firms to **also ignore the working conditions**

Transfer pricing

- MNCs often seek to maximise profits and try to **reduce their tax liabilities**
  - **Transfer pricing** is a method used by MNCs to shift profits from where they are generated to countries with lower tax rates
  - This is a method of **tax avoidance** and means that the businesses will deprive the host country of tax revenue

Examiner Tips and Tricks

Many students only focus on the benefits of multinational companies. Examiners expect balance. Always **consider both sides**: while MNCs bring jobs and investment, they may also exploit resources or repatriate profits. A one-sided answer will limit your marks

Case Study

Shell in Nigeria

Shell, one of the world's largest oil multinationals, has operated in Nigeria for decades. While it created jobs and export income, it has also caused major problems for the host country.

Context

- Nigeria depends heavily on oil exports for government revenue.

earnings.

Disadvantages

- **Loss of assets**
  - Nigeria's oil is largely controlled by foreign firms. Profits flow abroad rather than staying in the local economy
- **Balance of payments**
  - Shell imports machinery and repatriates profits to Europe, creating large outflows of money
- **Consumers**
  - Local energy firms struggle to compete, leaving customers dependent on one major supplier
- **Business culture**
  - Oil spills polluted land and rivers, setting a poor standard for environmental responsibility
- **Transfer pricing**
  - Shell has been accused of shifting profits abroad, reducing Nigeria's potential tax revenue

Nigeria's response

- The government formed the Nigerian National Petroleum Corporation (NNPC) to secure government ownership
- They introduced local laws to boost the use of Nigerian suppliers and the employment of Nigerian workers
- The government sued Shell for oil spills and demanded compensation
- They renegotiated contracts so more profit stays in Nigeria
- The government launched tax reforms to reduce profit shifting to other regions

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